



“FY22 WAS CLEARLY A TIME TO GAIN MARKET SHARE... WE INVESTED SIGNIFICANTLY TO GAIN MARKET SHARE. AND WE GREW OUR GMV 25x IN TWO YEARS”

DHIRESH BANSAL
CFO, MEESHO



“INDIAN E-COMMERCE 1.0... [BROUGHT] ORGANISED RETAIL ONLINE... MEESHO WENT AFTER UNORGANISED RETAIL AT ₹500-600 PRICE POINTS AND BROUGHT IT ONLINE”

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seen massive success in China, birthing giants like Pinduoduo. In the middle of 2021, however, Meesho transitioned to the direct e-commerce model.

Co-founder and CTO Sanjeev Barnwal calls it an “organic” progression. “Our value proposition is around two things: i) lowest prices; and ii) wide selection. These became so strong that we had a lot of end customers organically coming to Meesho and buying for themselves. Even the persona of those customers was not very different from the resellers’—they came from small towns and had a certain purchasing power. So, we tweaked our platform to make sure that both personas could be served.” That tweak resulted in 80 per cent of Meesho’s business coming from direct e-commerce today. App downloads also surged past 270 million, making it the most downloaded shopping app globally in 2022, per Apptopia, that tracks the space.

While Meesho’s pivot may please end consumers, resellers—the mainstay of its growth between 2016 and 2020—feel shortchanged by the platform. They contribute only 20 per cent to sales today. “Meesho is a classic case of a company dictated by VCs, even though Vinit [Aatrey] wants to do the right thing,” says a former Meesho employee who quit the firm in 2022. “It started as an earnest company that told the average Indian woman in a village that you can earn an income without any expenses of setting up a business. They then stabbed the same woman because they wanted to scale up.”

Sector observers, however, don’t fault Meesho’s change in business model. “Private investors have expectations from the capital they invest, and they want scale... You improvise to the market conditions. Social commerce was facing headwinds. To go further up, Meesho needed a change of gear,” says Ankur Bisen, Senior Partner & Head-Consumer, Food & Retail, Technopak.

Meesho, meanwhile, asserts that its reseller base continues to grow in absolute terms even though the platform’s direct customer base has far outpaced its growth. “On the demand side, the percentage contri-

bution of resellers may have come down, but the number of resellers has remained pretty strong,” says Utkrishta Kumar, CXO-Business at Meesho. “But we’ve become a big consumer destination for those who had no access to these products earlier.”

It was by Meesho’s design, of course. “Social commerce was a way to transition small-town people who are offline to come online. But it was never the permanent way of people buying online,” says Aatrey.

To attract more direct e-commerce shoppers, Meesho galvanised thousands of small-town sellers and urged them to put their entire assortment on its platform by going commission-free. It also ran aggressive promotions and sales events, thereby incurring high customer acquisition costs on its balance sheet. At the start of 2022, Meesho’s monthly burn was estimated to be at \$30-40

HAND OVER FIST

Between FY21 and FY22, Meesho’s losses have widened 6.5x, and its expenses have also jumped nearly 5x during the same period



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